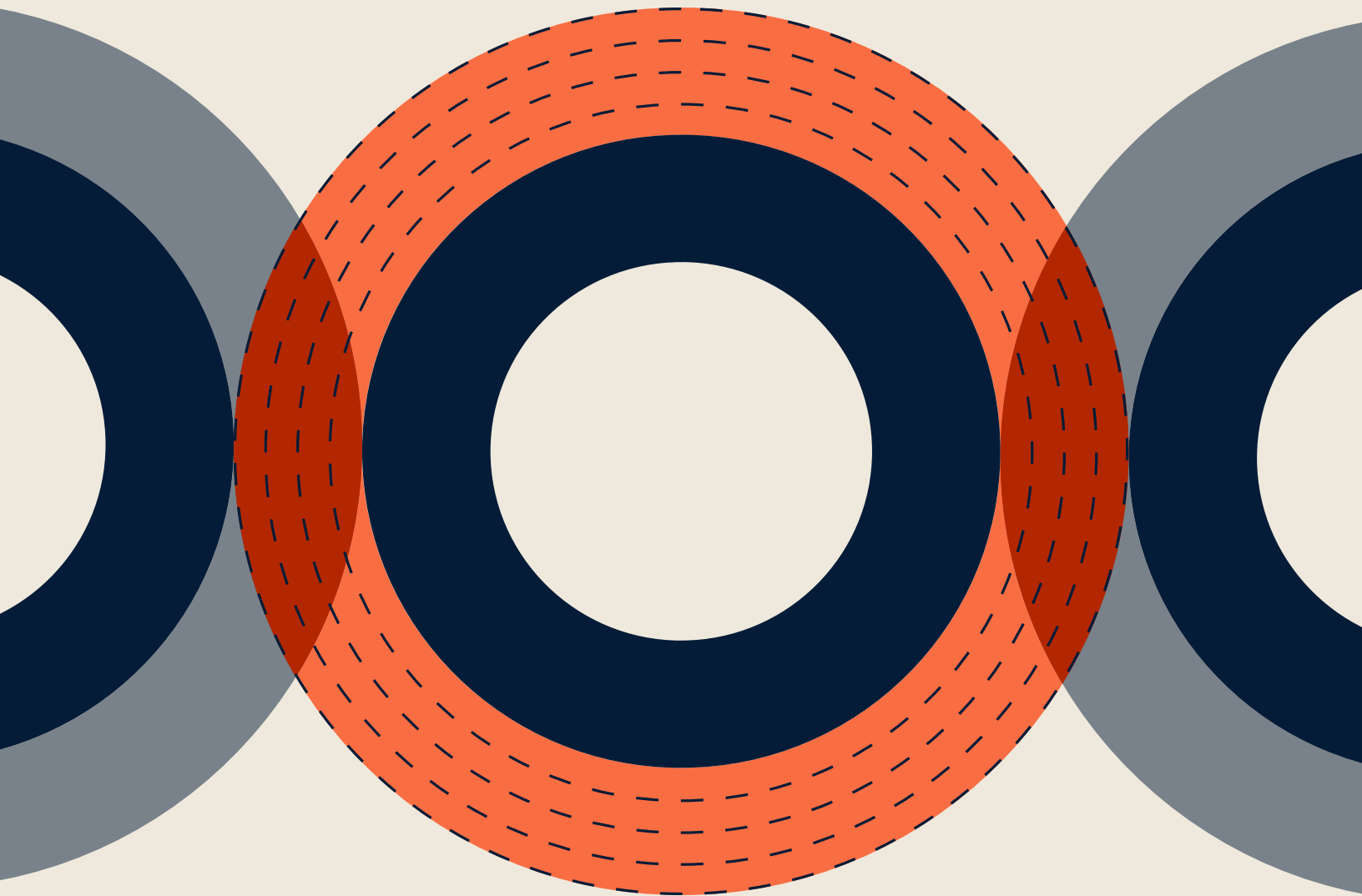


 GLOBAL

CLO Weekly Wrap



Managers turn attention to resets as spread margins improve

US managers endured a slim week of new-issue US CLO pricings, focusing instead on finalizing resets of outstanding BSL portfolios from a reinvigorated pipeline of “in the money” deal candidates that had slowed in recent months.

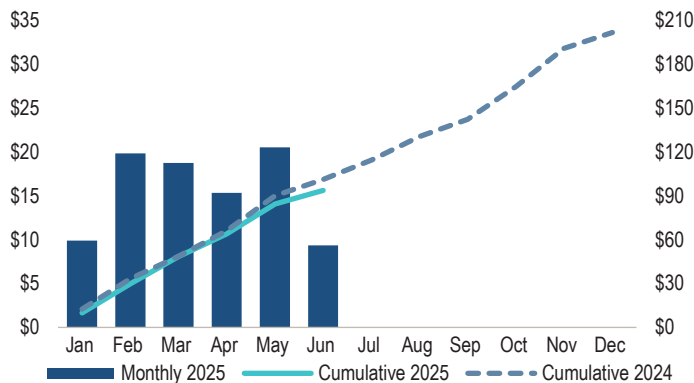
In Europe, two new issues priced for Neuberger Berman and Blackstone, with the latter setting a new post-“Liberation Day” tight for European CLO triple-A spreads, while KKR reset a 2019 deal that was outside its reinvestment period.

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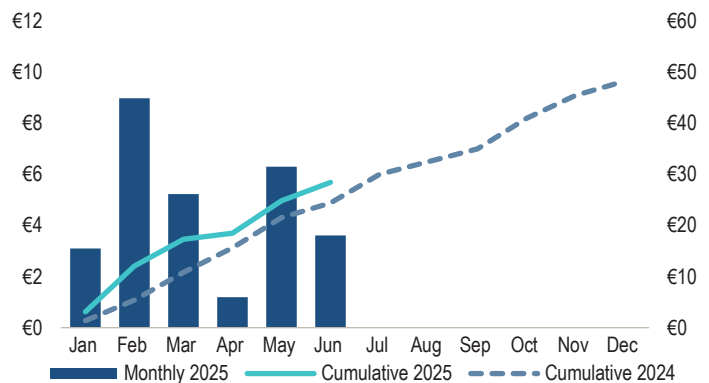
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US CLO issuance (\$B)



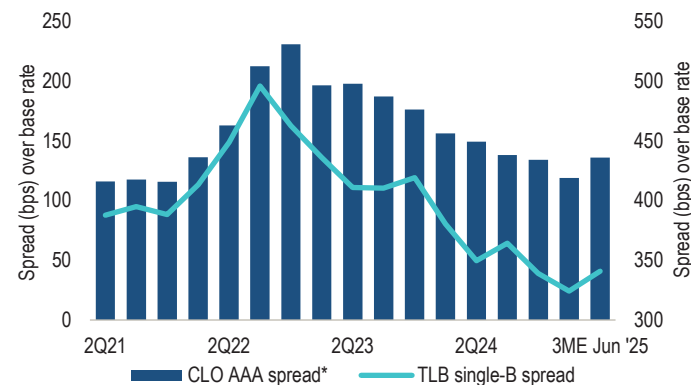
Source: PitchBook | LCD

European CLO issuance (€B)



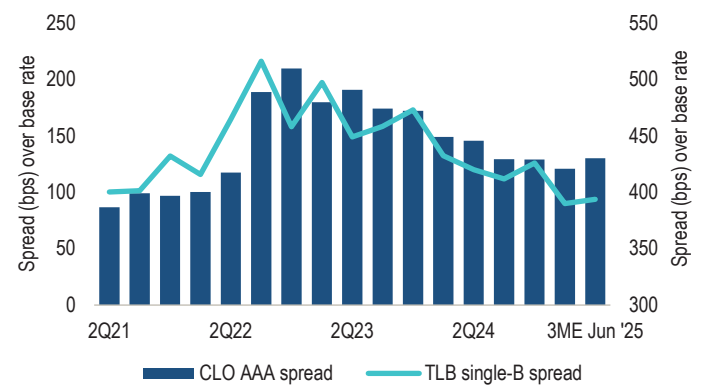
Source: PitchBook | LCD

US CLO AAA spread vs TLB spread



Source: PitchBook | LCD • Excludes middle-market CLOs

Europe CLO AAA spread versus TLB spread



Source: PitchBook | LCD

CLO new-issue volume				US			Europe			Global			
Year	US (\$B)	Count	Manager count	Euro (€B)	Count	Manager count	Global (\$B)	Global (€B)	Count	Manager count			
2024	201.95	425	122	48.23	114	58	253.94	235.02	539	180			
YTD 2024	99.52	211	104	23.20	55	44	124.58	115.25	266	148			
YTD 2025	93.83	194	103	28.43	65	45	124.65	114.45	259	148			

Source: PitchBook | LCD • Data through June 20, 2025

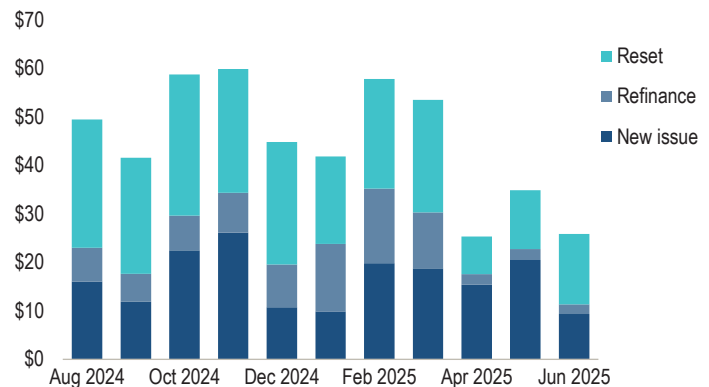
US: Tipped scales

Managers priced just four deals totaling \$1.72 billion last week, the lightest weekly tally since market-year deal activity launched in mid-January. Firms last week were instead focused on refinancings and resets, which for the past two weeks have priced at volumes not seen since late March.

After pricing \$6.56 billion in resets/refinancings during the June 9-13 period, arrangers priced 13 such transactions for a total of \$6.32 billion last week as tightening spread conditions encouraged managers to seek new deal terms. Triple-A pricing levels ranged from 128-140 bps for BSL CLO resets last week, which compares to wider spread conditions only a month earlier, which saw AAAs settling between 137-157 bps for the week of May 19.

Managers priced a record pace of combined refinancing/reset deals in the first quarter at \$104.78 billion, split between \$63.9 billion in deal resets and \$40.88 billion in full and partial refinancings of CLO term notes. The market for resets and refinancings of CLOs cooled off in April (\$10.01 billion combined) and May (\$14.36 billion combined) amid the post-“Liberation Day” volatility that widened spreads across the new-issue, refinancing/reset and secondary CLO markets.

US CLO total volume (\$B)



Source: PitchBook | LCD

With YTD resets now nearing \$100 billion, volume is well ahead of last year's comparable-period volume of \$66.4 billion.

However, managers will be challenged to exceed last year's full-year volume of \$223.34 billion, which was fed by a second-half surge of reset activity as managers looked to renew a large cohort of aging deals that had fallen out of

Latest Refi/Resets – US	Manager	Arranger
BCC Middle Market CLO 2019-1 Reset	Bain Capital Specialty Finance	Scotiabank
OHA Credit Funding 7 Reset	Oak Hill Advisors	Nomura
ICG US CLO 2023-1 Reset	CIBC Capital Markets	CIBC Capital Markets
RR 23 CLO Reset	Redding Ridge Asset Management	RBC Capital Markets
OCP CLO 2023-28 Reset	Onex Credit Partners	Bank of America
Ares LIV CLO Reset	Ares CLO Management	Morgan Stanley
Harriman Park CLO Reset	Blackstone CLO Management	Citigroup
Carlyle US CLO 2023-1 Reset	Carlyle CLO Management LLC	Goldman Sachs
TCW CLO 2023-1 Reset	TCW Asset Management	Jefferies LLC
RAD CLO 20 Reset	Redding Ridge Asset Management	Scotiabank

Source: PitchBook | LCD • Data through June 20, 2025

Last 10 Priced CLOs – US	Manager	Size (\$M)	AAA coupon (bps)
Harvest US CLO 2025-2	Investcorp	412	133
Madison Park Funding LXV	UBS Asset Management	400	130
Stratus Funding CLO 2025-1	Blackstone CLO Management	502	110
Wise CLO 2025-3	Blue Owl Credit Advisors	409	135
Benefit Street Partners CLO XLI	BSP CLO Management LLC	605	130
Navesink CLO 3	Zais Group	447	148
Wonder Lake Park CLO	Blackstone CLO Management	510	129
Neuberger Berman Loan Advisers CLO 61	Neuberger Berman Loan Advisers	509	130
Trinitas CLO XXXIII	Trinitas Capital Management	457	132
CTM CLO 2025-1	CTM Asset Management	408	150

Source: PitchBook | LCD • Data through June 20, 2025

Coupon reflects spread over base rate.

reinvestment at the end of 2023 (estimated to have been up to 40% of outstanding CLOs).

“[W]ith AAAs in both new issue and resets firming since late April, greater certainty in pricing should be conducive for deal activity moving forward,” Deutsche Bank observed in a June 16 research report.

New issue

RBC Capital Markets priced the \$408.5 million Wise CLO 2025-3 transaction for Blue Owl Capital. Terms for the June 16 transaction, constructed to comply with EU risk-retention and Article 7 reporting standards, include a triple-A coupon of S+135 bps for the Class A tranches sold as both notes and loans. This was the fourth transaction of 2025 for the issuer.

Natixis on June 18 priced the \$399.7 million Madison Park Funding LXV CLO from the BSL platform of UBS Asset Management (Americas). Terms include a senior triple-A tranche spread of S+130 bps. The deal is also compliant with EU risk-retention regulations, according to market sources. This was the third transaction of 2025 for the issuer.

Also June 18, Blackstone priced its ninth CLO of 2025, as well as its second non-reinvesting vehicle, with the \$502.3 million Stratus Funding CLO 2025-1. The deal, which carries a one-year non-call, has senior AAAs priced at S+110 bps.

Citigroup priced the \$412 million Harvest US CLO 2025-2 on June 20 for Investcorp Credit Management. It’s the second BSL print of 2025 for Investcorp.

Refinancing/Reset

Last week’s CLO primary market deal pricing activity was dominated by 10 BSL CLO resets that were arranged with lower debt-tranche coupons and extended maturities for nine managers. The tightest new triple-A spread among those deals was S+128 bps for a \$552.8 million-sized vehicle (OHA Credit Funding 7) managed by Oak Hill Advisors. The transaction nets Oak Hill a savings of only two basis points on the current liabilities of S+130 bps, but restores the deal’s recently expired reinvesting status for the next five years.

Other resets offered managers substantial cuts to current AAA margins, such as a 69-bps reduction for TCW Asset Management’s new terms on TCW CLO 2023-1 in a June 18 transaction. Carlyle CLO Management is now scheduled to pay 58 bps less on a Class A-1-R notes tranche after the June 18 reset of Carlyle US CLO 2023-1.

A handful of CLO resets last week involved upsizing the capital stack. Redding Ridge Asset Management’s 2022 vintage RR 23 portfolio was boosted to \$889.19 million in a second reset transaction (also June 18) that involved an equity capital injection of more than \$50 million since the deal’s prior reset in August 2023. (The deal was among two CLO resets priced by Redding Ridge last week.)

Other BSL resets involved deals issued by Sixth Street Management, ICG Debt Advisors, Onex Credit Partners, Ares CLO Management and Blackstone CLO Management.

Two other resets involved middle market CLOs managed by Bain Capital Specialty Finance and Monroe Capital.

Also, Brigade Capital Management priced the week’s loan refinancing transaction, which lowered the AAA coupon for Battalion CLO XXI to S+115 bps with a one-year non-call.

Banner inflows for CLO ETFs

JPMorgan reported that US CLO exchange-traded funds last week received \$587 million of net inflows, well above the weekly average of \$372 million over the past year.

In a June 23 research report, the firm said last week’s net total included a \$583 million inflow into the largest ETF player, Janus Henderson CLO AAA.

Funds investing in CLO AAA tranches as well as mezzanine securities now total \$31.4 billion, or 2.8% of the outstanding CLO market, according to JPMorgan. The CLO ETF market was sized at \$13.4 billion at this time last year.

Deutsche: US bank CLO holdings decline

In its midyear CLO market outlook, Deutsche Bank said the CLO holdings of US banks declined to \$139 billion in the first quarter, “a 14% decline YoY and 7% QoQ,” with the drop attributable to a mix of causes, including heightened volume of BSL CLO deal paydowns since 2024.

Additionally, “[o]ther securitized categories, such as agency CMBS and non-agency RMBS have seen a greater allocation,” from US banks, Deutsche Bank said.

The CLO holdings of US banks remain concentrated among three major companies: JPMorgan Chase (\$45.5 billion, a 33.5% share), Citigroup (\$32.4 billion, a 23.3% portion) and Wells Fargo (\$14.93 billion, representing a 10.7% slice of the market).

**The full 8-page report is
available through the
PitchBook Platform.**

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